

Abuse of Shareholders Through Open-Market Purchase of Shares.

During the 1930–1933 depression repurchases of their own shares were made by many industrial companies out of their surplus cash assets,⁶ but the procedure generally followed was open to grave objection. The stock was bought in the open market without notice to the shareholders. This method introduced a number of unwholesome elements into the situation. It was thought to be “in the interest of the corporation” to acquire the stock at the lowest possible price. The consequence of this idea is that those stockholders who sell their shares back to the company are made to suffer as large a loss as possible, for the presumable benefit of those who hold on. Although this is a proper viewpoint to follow in purchasing other kinds of assets for the business, there is no warrant in logic or in ethics for applying it to the acquisition of shares of stock from the company’s own stockholders. The management is the more obligated to act fairly toward the sellers because the company is itself on the buying side.

But, in fact, the desire to buy back shares cheaply may lead to a determination to reduce or pass the dividend, especially in times of general uncertainty. Such conduct would be injurious to nearly all the stockholders, whether they sell or not, and it is for that reason that we spoke of the repurchase of shares at an unconscionably low price as only *presumably* to the advantage of those who retained their interest.

Example: White Motor Company. In the previous chapter attention was called to the extraordinary discrepancy between the market level of White Motor’s stock in 1931–1932 and the minimum liquidating value of the shares. It will be instructive to see how the policies followed by the management contributed mightily to the creation of a state of affairs so unfortunate for the stockholders.

White Motor Company paid dividends of \$4 per share (8%) practically from its incorporation in 1916 through 1926. This period included the depression year 1921, in which the company reported a loss of nearly \$5,000,000. It drew, however, upon its accumulated surplus to maintain the full dividend, a policy that prevented the price of the shares from declining below 29. With the return of prosperity the quotation advanced

⁶ Figures published by the New York Stock Exchange in February 1934 revealed that 259 corporations with shares listed thereon had reacquired portions of their own stock.